17 January 2019

PRICON MICROELECTRONICS, INC.
Cabuyao, Laguna

Attention: **Mr. Ricardo Martin III**

Thru: **Mr. Michael Lopez**

Subject: **Proposal for Maintenance Renewal of Cisco Equipment**

Dear Sirs:

Trends & Technologies, Inc. is pleased to be given the opportunity to serve your **Cisco Maintenance** requirement.

Our Financial Proposal together is herewith attached for your consideration and approval.

TERMS AND CONDITIONS:

Pricing	: Landed, in Philippine Peso and **Zero-Rated**
Payment	: Thirty (30) days upon issuance of Sales Invoice.
Delivery	: Five (5) to Seven (7) days upon receipt of Purchase Order.
Price Validity	: Thirty (30) days upon receipt hereof after which time, prices terms and conditions are subject to our written confirmation.
Order Cancellation	: Not Allowed.

It is a pleasure being of service to **Pricon Microelectronics Inc.**. Should you have any questions, please feel free to contact the undersigned at your convenience.

Very truly yours,

-------signed-------

Mary Cris Ramirez
Services Account Manager
Enterprise Business Group

Trends & Technologies, Inc.
6th Floor Trafalgar Plaza
105 H.V. Dela Costa Street, Salcedo Village
Makati City 1227 Philippines
Phone: +63 2 811 8181 Fax: +63 2 814 0130
www.trends.com.ph

1. SUMMARY.

DESCRIPTION OF SUPPORT SERVICES		**ENTITLEMENT**
Maintenance Period		**Coterm End date:** **February 1, 2019 to June 5, 2019**
Service Requests	Service Desk	Available 7 x 24
	Landline	TL: 811-8181 / DL: 863-2188
	Mobile	0917-500-3711
	SMS	0917-571-7046
	eMail	servicedesk@trends.com.ph
Phone Support	Response Time	Within 30 minutes upon receipt of call by TTI helpdesk representative
Engineering Services	Service Availability	24x7 Mondays Thru Sundays including Holidays
	Response Time	Within 4 hours
Hardware Parts Replacement	RMA Charges	Included
	Availability	Next Business Day Note: Cut-off time of raising RMA ticket is at 2:00pm local time.
Maintenance Services	Corrective Maintenance	Included
	Moves, Add, & Changes (MAC)	Two (2) Man-days included.
Manufacturer's Support Services	Hardware	Hardware Replacement
	Software	Fix Releases

2. SCOPE OF SERVICES.

A. Statement of Overview. Trends and Technologies, Inc. (Trends) shall render the following services to Pricon Microelectronics Inc. (Business Partner) with regard to the Equipment and Applications covered in this proposal within the agreed Maintenance Period.

B. Services. Base Services to be provided:

Corrective Maintenance. Trends shall immediately attend to service calls of the Business Partner by providing immediate telephone support to diagnose and remedy the reported incident. For this purpose, Trends shall at all times maintain a 24-hour telephone service to receive the calls of the Business Partner.

If the incident cannot be resolved off-site, an on-site engineer will be immediately deployed to the location.

Trends shall supply the necessary spare parts for the purpose of maintaining the Equipment listed in this proposal hereof to its proper working condition. Spare units may be brand new units or refurbished units that are in good working condition.

Hardware Support. In case the equipment is found faulty and the same needs to be pulled out by Trends for Return Material Authorization (RMA) request to Cisco or replacement unit of the same or alternative specification as that of the malfunctioning equipment shall be provided

while the faulty equipment is undergoing RMA. Trends shall shoulder all the costs related and shipment of the equipment subject to RMA.

Trends guarantees that it will be returned and re-installed fit-for-use to Business partner within Thirty (30) days, starting from the date the said equipment was pulled-out. Should Trends fails to return or re-install the equipment within the said period, the service unit provided by the Trends shall become the property of the Business Partner and the pulled-out defective equipment the property of Trends, provided that the service unit shall have all the warranties of a brand new unit.

Parts replacement service level for RMA will take effect thirty (30) after the commencement of this agreement.

Software Support. For any fault call regarding Software concerns, Trends will send a Technical Staff on-site to do trouble-shooting and fault-fixing. If required, available software patching for bug-fixes provided by the Principal will be done.

Trends will interface and coordinate with the Business Partner representative until the issue has been resolved. Regular updates of fault rectification will be provided.

3. EXCLUSIONS. The Business Partner acknowledges and agrees that the obligation to provide Maintenance Services does not apply to:

a. Equipment or Services excluded or not described in ANNEX A or anywhere in this Agreement;
b. Equipment that has been operated used or stored in a manner that is not in accordance with the supplied documentation;
c. Equipment that has suffered damage through excessive use, misuse, fault or negligent act or omission of the Business partner or any person other than Trends; For the purpose of this clause, the activities deemed to be "non-maintenance" are those activities which are not referred to within Section V, and which arise outside of the scope of this agreement and "excessive use" refers to use of the Equipment that is not contemplated by the manufacturer's specifications;
d. Equipment which has been damaged by electromagnetic or electrostatic interference, or power disturbances;
e. Equipment which has been damaged by being operated with unapproved consumable supplies or accessories;
f. Equipment which has been modified without the prior written consent of Trends;
g. Installation, removal or relocation of equipment by persons other than Trends' approved staff and contractors;
h. Any battery back-up associated with the Equipment;
i. Any cables associated with the Equipment;
j. The refurbishment of the Equipment;

k. Provision of operating supplies or accessories;

4. RESPONSIBILITY OF THE BUSINESS PARTNER. To permit Trends to fulfill its obligations pursuant to this Agreement, the Business Partner shall:

a. Nominate at least one appropriate person to be the Business Partner's contact with Trends regarding Maintenance Services (such person to be regularly available during normal business hours).

b. Ensure that Trends' maintenance personnel have free, safe and uninterrupted access to the Equipment at all times during the Validity Period;

c. Make available on request the services of any person who operates the Equipment at the Site. In such case, Trends shall give reasonable notice to the Business Partner as to the necessity of the presence of such person during the provision of Maintenance Services.

d. Notify Trends immediately in writing if the Business Partner ceases to be in possession of the Equipment at the Site;

Trends shall not be liable for any failure to provide the Maintenance Service due to a failure of the Business Partner to comply with its obligations under this Clause.

a. In the event that an equipment that is covered in this agreement is declared defective by Trends, the Business Partner has the responsibility to return the said unit upon delivery of the replacement. If the Business Partner fails to do so, Trends shall bill the Business Partner the list price of the unit;

b. The Business Partner shall not carry out, or cause to be carried out by other persons, modifications or adjustments to the equipment without the prior written consent of Trends.

5. MAINTENANCE CHARGES.

Item	Description	Qty	Total Cost in Php, Zero-Rated
1	Maintenance Services Support for Cisco equipment	1 lot	80,000.00
		Less discount:	7,000.00
		Total Cost after discount in Php, Zero-Rated	**73,000.00**

NOTES:

- This proposal is valid for 30 days

1. The Business Partner acknowledges that the Maintenance Charges are also based on the Equipment as at the date of this Proposal. In the event that the Business Partner adds any hardware, software, programs or peripheral equipment to the Equipment, or otherwise increases the capacity or functionality of the Equipment ("Equipment Enhancements") during

the Agreement Period, Trends may reasonably increase the Maintenance Charge to reflect the additional maintenance services required supporting the Equipment Enhancements subject to the approval of the Business Partner. If no agreement is reached regarding the increase, the Equipment Enhancement shall not be covered by this Agreement.

2. Any such increase will be added to the Maintenance Charges on such date as may be agreed upon by the Parties.
3. The Business Partner agrees to pay for any work performed outside the scope of this Proposal at the prevailing time and material rates of Trends as published from time to time.
4. Trends reserves the right to review the Maintenance Charges every twelve (12) months after the Commencement Date. Notice of any such increase will be sent to the Business Partner sixty (60) days prior to effect. Should the Business Partner disagree with the increase, the Business Partner may terminate this Agreement upon 30 days notice in writing without any further liability to pay the increased charges.
5. All Maintenance Charges payable to Trends by the Business Partner in accordance with this Agreement shall be paid within thirty (30) days from the receipt of invoice ("the due date") by the Business Partner's Accounting Office without set off, claim or deduction. If the Business Partner defaults in payment by the due date, Trends shall have the right to do any or all of the following:
   a. Suspend its obligations to provide Maintenance Services;
   b. Immediately terminate the Agreement;
6. The Business Partner agrees to pay an interest rate of 1 % calculated on a monthly basis within thirty (30) days of the date of invoice or written demand.

Thank you for considering Trends & Technologies Inc. for your Maintenance requirement. If the above conditions are in order, please sign affix your signature on the space provided below to signify your acceptance of our offer.

CONFORME:

_____

(Signature over Printed Name/Date)

Trends & Technologies, Inc.
6th Floor Trafalgar Plaza
105 H.V. Dela Costa Street, Salcedo Village
Makati City 1227 Philippines
Phone: +63 2 811 8181 Fax: +63 2 814 0130
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ANNEX A – LIST OF EQUIPMENT

Address of Installation Site/s : Cabuyao, Laguna

Item	Part Number	Description	Serial Number
1	**WS-C2960X-24PS-L**	**Catalyst 2960-X 24 GigE PoE 370W, 4 x 1G SFP, LAN Base**	**FOC2004S2J8**
2	**WS-C2960X-24PS-L**	**Catalyst 2960-X 24 GigE PoE 370W, 4 x 1G SFP, LAN Base**	**FCW2004B25V**

ANNEX B - CALL-IN PROCEDURES

To request for customer assistance, please contact our Helpdesk:

By Phone (+632) 863 2188; (+632) 917 500 3711 (available 24 x 7)
Please use this method to report critical problems

By SMS (+632) 917 571 7046 (available 24 x 7)
(For non-critical inquiries - Mon - Fri 08:30-17:30 only)

By Email servicedesk@trends.com.ph

(For non-critical inquiries - Mon - Fri 08:30-17:30 only)

To facilitate the processing of your request, please provide the following information:

1. TRENDS Maintenance Contract Number or Purchase Order (if applicable)
2. Company name
3. Contact details (name, number, email)
4. Site Location
5. Equipment affected (model and serial number, if possible)
6. Brief description of the problem

ANNEX C - ESCALATION MATRIX

Time	Severity 1 (Network Down)	Time	Severity 2 (Severe Impact)	Time	Severity 3 (Impaired Ops)
30 minutes from the time case is opened	Technology Manager Account Manager and/or Sales Manager	1 Hour from the time case is opened	Technology Manager Account Manager and/or Sales Manager	1 Hour and 30 minutes from the time case is opened	Technology Manager Account Manager and/or Sales Manager
4 hours + 30 minutes from the time case is opened	Engineering Head and/or BSG Head/ Business Unit Head	7 Hours from the time case is opened	Engineering Head and/or BSG Head/ Business Unit Head	9 hours + 30 minutes from the time case is opened	Engineering Head and/or BSG Head/ Business Unit Head
8 Hours from the time case is opened	Corporate Operations **Renan Velonza** renanv@trends.com.ph +63 917 526 9097	12 Hours from the time case is opened	Corporate Operations **Renan Velonza** renanv@trends.com.ph +63 917 526 9097	24 Hours from the time case is opened	Corporate Operations **Renan Velonza** renanv@trends.com.ph +63 917 526 9097
Every 4 hours from last escalation until case is Resolved	Chairman & CEO **Hasan Fard** hasan@trends.com.ph +63 917 526 9140	Every 6 hours from the last escalation until case is Resolved	Chairman & CEO **Hasan Fard** hasan@trends.com.ph +63 917 526 9140	Every 12 hours from the last escalation until case is Resolved	Chairman & CEO **Hasan Fard** hasan@trends.com.ph +63 917 526 9140
24 Hours	Continuing Escalation until Restoration	24 Hours	Continuing Escalation until Restoration	48 Hours	Continuing Escalation until Restoration

ANNEX D - OUT-OF-SCOPE RATES

SERVICE HOURS		RATE PER HOUR	
Mondays thru Fridays	8:30 to 6pm (local time)	Php	1,500.00
Mondays thru Fridays	after 6pm (local time)	Php	2,000.00
Saturday, Sunday and Holiday		Php	3,000.00

Note:

- Rate quote above is on a per hour per Engineer basis with a minimum of 3-hour service.

- All prices are VAT Exclusive.

- Prices does not include transportation, meal, board & lodging for site outside Metro Manila.

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